In December 2022, Muzaffarnagar-based entrepreneur Neeraj Kedia, managing director of zinc sulphate manufacturing firm Chakradhar Chemicals, received an unexpected notice from the Goods and Services Tax (GST) department, raising a tax demand of around Rs 95 lakh and interest of Rs 1.15 crore for the period from July 2017 to March 2018. It stated that the Input Tax Credit (ITC), which allows businesses to get reimbursement for the taxes they paid on their purchases, should not have been claimed by Kedia, as his supplier had not filed Form GSTR-3B, the monthly return to declare GST liabilities. The notice further alleged that Kedia had failed to file the form back in 2017. He was stunned. Like many small and mid-sized business owners, such a notice triggered not only a legal alarm but also operational disruption. Kedia responded swiftly, highlighting a key point: the Form GSTR-3B functionality wasn't even available on the GST portal at the time in question. The case was finally settled in September 2024. But addressing a show-cause notice years after is no easy task—it involves combing through old records, rechecking financial data and reconciling accounts. "You have to jog your memory, track down data from years ago and build your case from scratch," Kedia explains.

Paperwork, though, is only part of the ordeal. Other hassles could include multiple visits to the GST office, pleading your case with officials and, finally, succumbing to the one solution that magically gets files cleared—paying a bribe. This is the common reality entrepreneurs encounter routinely, overwhelmed by the growing complexities of GST compliance and notices. However, of the more than 10 entrepreneurs INDIA TODAY spoke to, none wanted to go on record, for fear of retaliation.

GST was undoubtedly a landmark reform in India's taxation system. Founded on the principle of 'one nation, one tax', it was designed to promote ease of doing business. The regime streamlined a host of indirect taxes previously levied separately by the Centre and states, such as sales tax, excise duty, VAT, and central sales tax, thereby significantly reducing the compliance burden. GST also eliminated inter-state barriers, introduced IT-based compliance mechanisms, and minimised tax rate disputes, drawing more businesses into the taxpayer net and accelerating formalisation.

Under the earlier VAT and excise regimes, businesses often resorted to overbilling or underbilling to save on taxes that amounted to 18-20 per cent. Honest businesses found it difficult to compete, as others could sell their products for cash at significantly lower prices. GST changed that by reducing incentives for tax evasion and creating a level-playing field, says Prashant Patel, director, R.K. Synthetics, an Ahmedabad-based dyes and chemicals manufacturer, and former president of the Federation of Indian Micro and Small & Medium Enterprises. Over time, businesses began to accept GST and saw its benefits. It is no surprise that GST collections have risen year after year, with net revenue touching Rs 19.56 lakh crore in FY25—an 8.6 per cent increase over Rs 18 lakh crore in FY24.

However, now that the system has largely stabilised, the government seems to be adding more rules, creating new challenges and reversing some of the progress made toward ease of doing business. Frequent amendments and increasing compliance requirements have added significant cost and burden, especially for Micro, Small and Medium Enterprises (MSMEs), which are resource-constrained to begin with.

GOOD, NOT SIMPLE, TAX

GST was meant to simplify taxation. However, in its current form, the system has become complex. This is because GST is levied on every transaction for intra-state supply of goods and services by both the Centre and state. The Centre levies what is called Central GST or CGST on intra-state supply of goods and services, while the states impose State GST or SGST. Integrated Goods and Services Tax or



CHANDRADEEP KUMAR

CASE STUDY

NEERAJ KEDIA

MD, Chakradhar Chemicals, Muzaffarnagar, UP

The businessman got a GST notice in Dec. 2022 for Rs 95 lakh in tax and Rs 1.15 crore in interest from July 2017 to March 2018, citing ineligible Input Tax Credit as his supplier hadn't filed GSTR-3B. The notice also said he hadn't filed the form, though it wasn't available on the portal then. The demand was nullified in Sept. 2024, after Kedia submitted his detailed reply.

"You have to jog your memory, track down data from years ago and build your case from scratch"